25SMCV06373 25SMCV06373

County: los-angeles

Division: Civil Law and Motion

Department: 207

Hearing date: 2026-08-19

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=BH%20%2C207%2C08%2F19%2F2026

Source SHA-256: 4bd45f3da843568901d6dcbb4aba15588a548d56e42f7a60e196c3460b8fd695

Case Number: 25SMCV06373 Hearing Date: August 19, 2026 Dept: 207

TENTATIVE RULING

DEPARTMENT

207

HEARING DATE

August 19, 2026

CASE NUMBER

25SMCV06373

MOTIONS

Demurrer and Motion to Strike Portions of Complaint

MOVING PARTY

Defendant Ellis Law Corporation

OPPOSING PARTY

none

MOTIONS

This case arises from a dispute concerning legal fees between a client's current and former counsel.

On December 8, 2025, Plaintiff Rafii & Associates, P.C. ("Plaintiff"), the client's former counsel, brought suit against Defendant Ellis Law Corporation ("Defendant"), the client's current counsel, alleging five causes of action for (1) declaratory relief; (2) breach of contract (third-party beneficiary); (3) conversion; (4) quantum meruit (in the alternative); and (5) violation of California Rule of Professional Conduct 1.15(d).

Defendant now demurs to the second and fifth causes of action on the grounds that they fail to state facts sufficient to constitute a cause of action pursuant to Code of Civil Procedure section 430.10, subdivision (e).

Defendant also moves to strike Plaintiff's request for a declaration that Defendant violated California Rules of Professional Conduct 1.15(d) and State Bar Formal Opinion No. 2008-175 and the request "For attorney's fees where permitted by law[.]"

Both the Demurrer and Motion to Strike are unopposed.

ANALYSIS

1.
DEMURRER

"It is black letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In testing the sufficiency of a cause of action, a court accepts "[a]s true all material facts properly pled and matters which may be judicially noticed but disregard contentions, deductions or conclusions of fact or law. [A court also gives] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (290 Division (EAT), LLC v. City & County of San Francisco (2022) 86 Cal.App.5th 439, 450 [cleaned up]; Hacker v. Homeward Residential, Inc. (2018) 26 Cal.App.5th 270, 280 ["in considering the merits of a demurrer, however, "the facts alleged in the pleading are deemed to be true, however improbable they may be"].)

Further, in ruling on a demurrer, a court must "liberally construe" the allegations of the complaint "with a view to substantial justice between the parties." (See Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

In summary, "[d]etermining whether the complaint is sufficient as against the demurrer on the ground that it does not state facts sufficient to constitute a cause of action, the rule is that if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

A.
FAILURE TO STATE A CAUSE OF ACTION

i.
First Cause of Action – Breach of Contract

"To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) the plaintiff's performance of the contract or excuse for nonperformance, (3) the defendant's breach, and (4) the resulting damage to the plaintiff." (Richman v. Hartley (2014) 224 Cal.App.4th 1182, 1186.)

"A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it." (Code Civ. Proc., § 1559.) To be deemed a third-party beneficiary under California law the following factors must be established: "(1) whether the third party would in fact benefit from the contract, . . . (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action

against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. All three elements must be satisfied to permit the third party action to go forward."
(Goonewardene v. ADP, LLC (2019) 6 Cal.5th 817, 830.)

Further, "the test for determining whether a contract was made for the benefit of a third person is whether an intent to benefit a third person appears from the terms of the contract. If the terms of the contract necessarily require the promisor to confer a benefit on a third person, then the contract, and hence the parties thereto, contemplate a benefit to the third person." (Johnson v. Holmes Tuttle Lincoln–Mercury, Inc. (1958) 160 Cal.App.2d 290, 297, citation omitted.) But "the circumstance that a literal contract interpretation would result in a benefit to the third party is not enough to entitle that party to demand enforcement. The contracting parties must have intended to confer a benefit on the third party. In determining whether the contract contemplates a benefit to the third party, the court must read the contract in light of the circumstances in which the parties entered into it." (Souza v. Westlands Water Dist. (2006) 135 Cal.App.4th 879, 891, citations omitted.)

Here, Plaintiff alleges:

5. This matter arises from a March 30, 2018 motor vehicle collision whereby Monica Godinez Lopez ("Client") was a passenger of a Lyft vehicle that was rear-ended by another vehicle, resulting in serious bodily injuries for which Client brought personal injury claims for damages against the appropriate defendants.

6. On April 10, 2018, Client initially retained Nelson & Natale law firm to represent her in connection with the personal injury claim arising from the March 30, 2018 incident.

7. On August 21, 2018, Client substituted Nelson & Natale with ELC pursuant to a retainer agreement.

8. On February 18, 2019, Client substituted ELC with R&A pursuant to a written retainer agreement. Said retainer agreement provided that "If a lawsuit is filed or demand for arbitration is filed, Client shall pay Attorneys 45% of the total amount recovered from any

source."

9. On March 27, 2020, while R&A was counsel of record, the third-party's policy limits of $25,000.00 were tendered by Liberty Mutual, resolving the original personal injury case.

10. On March 21, 2022, while R&A was counsel of record, R&A secured an initial Underinsured Motorist ("UIM") settlement offer of $347,378.00 from Constitutional State Services.

11. On October 25, 2022, after R&A had substantially completed its work on the case and secured the UIM settlement offer, Client substituted R&A with ELC as counsel of record.

12. At the time of the substitution on October 25, 2022, a demand for UIM arbitration was in effect, having been initiated during R&A's representation of Client.

13. On or before July 24, 2024, ELC resolved the UIM claim for an undisclosed settlement amount. Upon information and belief, the UIM claim settled for $1,000,000.00.

14. ELC notified R&A of the settlement via letter dated July 24, 2024, but deliberately failed to disclose the settlement amount or the exact settlement date, in violation of California Rule of Professional Conduct 1.15(d) and State Bar Formal Opinion No. 2008-175.

15. R&A has a valid contractual lien on the settlement proceeds. Under the terms of R&A's retainer agreement with Client, R&A is entitled to 45% of the total amount recovered, which amounts to a minimum $156,320.10 based on the settlement offer R&A secured (45% of $347,378.00).

16. ELC is presently in possession of, or has distributed, funds subject to R&A's lien and has refused to honor R&A's contractual entitlement to attorney fees earned through R&A's substantial work on the case.

17. Under California law, including Oliver v.

Campbell, (1954) 43 Cal.2d 298 and Cazares v. Saenz (1989) 208 Cal.App.3d 279, when a contingency fee attorney is discharged after substantially completing work that leads to settlement, the attorney is entitled to recover fees under the contract.

18. R&A has been damaged by ELC's refusal to honor its lien and disburse the earned fees, and by ELC's violation of professional conduct rules requiring disclosure of settlement amounts to prior counsel with valid liens

24. R&A's fee agreement with Client was a binding contract. ELC, as Client's successor counsel, was aware of the agreement and accepted control over the settlement funds, knowing R&A had a valid and enforceable lien.

25. R&A is a third-party beneficiary of the settlement distribution process and ELC's fiduciary duties relating to those funds. ELC's refusal to honor the lien constitutes a breach of that duty and breach of the settlement agreement to which R&A was a necessary party in interest.

26. As a direct and proximate result of ELC's conduct, R&A has suffered damages of at least $156,320.10.

(Complaint ¶¶ 5-18, 24-26 [emphasis added].)

It is not entirely clear from the Complaint which contract Defendant allegedly breached. Plaintiff alleges (1) an agreement with prior counsel, Nelson & Natale (Complaint ¶ 6); (2) an agreement between Plaintiff and the client (Complaint ¶ 7); (3) an agreement between Plaintiff and Defendant (Complaint ¶ 8); (4) a settlement agreement between the client and the underlying defendant(s) vis-à-vis the uninsured motorist claim (Complaint ¶ 13); and (5) Plaintiff’s contractual lien on the settlement proceeds (Complaint ¶ 15.)

Yet the second cause of action alleges Plaintiff is a third-party beneficiary “of the settlement distribution process” and of Defendant’s “fiduciary duties relating to those funds.” (Complaint ¶ 25.) It also alleges Defendant’s “breach of the settlement agreement to which [Plaintiff] was a necessary party in interest."

Further,
Plaintiff has not alleged that any of the agreements at issue were made for the express benefit of Plaintiff as a third party.

Therefore,
the Court sustains Defendant's demurrer to the second cause of action.

ii.
Fifth Cause
of Action – Violation of California Rule of Professional Conduct 1.15(d)

California Rules of Professional Conduct, rule 1.15(d) provides:

A lawyer shall:

(1) absent good cause, notify a client or other person* no later than 14 days of the receipt of funds, securities, or other property in which the lawyer knows* or reasonably should know* the client or other person* has an interest;

(2) identify and label securities and properties of a client or other person* promptly upon receipt and place them in a safe deposit box or other place of safekeeping as soon as practicable;

(3) maintain complete records of all funds, securities, and other property of a client or other person* coming into the possession of the lawyer or law firm;*

(4) promptly account in writing* to the client or other person* for whom the lawyer holds funds or property;

(5) preserve records of all funds and property held by a lawyer or law firm* under this rule for a period of no less than five years after final appropriate distribution of such funds or property;

(6) comply with any order for an audit of such records issued pursuant to the Rules of Procedure of the State Bar; and

(7) promptly distribute any undisputed funds or property in the possession of the lawyer or law firm* that the client or other person* is entitled to receive.

In addition to the above, Plaintiff alleges:

35. California Rule of Professional Conduct 1.15(d) requires that upon receiving funds in which a third person has an interest, a lawyer shall promptly notify that person, promptly account in writing for such funds, and promptly distribute any undisputed funds that person is entitled to receive.

36. State Bar Formal Opinion No. 2008-175 explicitly confirms that successor attorneys have a duty to disclose both the fact of settlement and the settlement amount to prior counsel who holds a valid lien, even if the client instructs otherwise.

37. ELC violated Rule 1.15(d) by failing to disclose the settlement amount to R&A, who holds a valid lien, thereby preventing R&A from asserting its rights to proportional attorney fees.

38. As a result of ELC's professional conduct violations, R&A has suffered damages and has been unable to properly assert its claim to attorney fees earned through substantial work on Client's case.

(Complaint ¶¶ 35-38.)

Notwithstanding, Defendant demurs on the grounds that there is no private right of action based on a violation of the Rules of Professional Conduct alone.
In support, Defendant cites to Rule 1.0(b)(3) which provides:

A violation of a rule does not itself give rise to a cause of action for damages caused by failure to comply with the rule. Nothing in these rules or the Comments to the rules is intended to enlarge or to restrict the law regarding the liability of lawyers to others.

Therefore, the Court sustains Defendant's demurrer to the fifth cause of action on the ground that there is no private right of action for violation of the Professional Rules of Conduct.

2.

MOTION TO STRIKE

Any party, within the time allowed to respond to a pleading, may serve and file a motion to strike the whole pleading or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1); Cal. Rules of Court, rule 3.1322, subd. (b).) On a motion to strike, the court may: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a)-(b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782.)

Defendant moves to strike Plaintiff's request for declaratory relief that Defendant violated California Rule of Professional Conduct 1.15(d) and State Bar Formal Opinion No. 2008-175 on the ground that there is no valid underlying cause of action entitling Plaintiff to this relief.

As discussed above, the Court agrees, and therefore strikes Plaintiff's request for declaratory relief pertaining to California Rules of Professional Conduct, rule 1.15(d) and State Bar Formal Opinion No. 2008-175.

Defendant also moves to strike Plaintiff's request for "attorney's fees where permitted by law" on the grounds that the Complaint does not articulate any legal or statutory basis for attorneys' fees. Again, the Court agrees.

The remaining causes of action are for (1) declaratory relief (pertaining to the amount of fees Defendant owes Plaintiff); (2) conversion; and (3) quantum meruit. Plaintiff has not articulated any statutory basis to recoup attorneys' fees based on the above causes of action.

Therefore, the Court strikes Plaintiff’s request for attorneys’ fees.

3. LEAVE TO AMEND

A plaintiff has the burden of showing in what manner the complaint could be amended and how the amendment would change the legal effect of the complaint, i.e., state a cause of action. (See The Inland Oversight Committee v. City of San Bernardino (2018) 27 Cal.App.5th 771, 779; PGA West Residential Assn., Inc. v. Hulven Int'l, Inc. (2017) 14 Cal.App.5th 156, 189.) A plaintiff must not only state the legal basis for the amendment, but also the factual allegations sufficient to state a cause of action or claim. (See PGA West Residential Assn., Inc. v. Hulven Int'l, Inc., supra, 14 Cal.App.5th at p. 189.) Moreover, a plaintiff does not meet his or her burden by merely stating in the opposition to a demurrer or motion to strike that “if the Court finds the operative complaint deficient, plaintiff respectfully requests leave to amend.” (See Major Clients Agency v Diemer (1998) 67 Cal.App.4th 1116, 1133; Graham v. Bank of America (2014) 226 Cal.App.4th 594, 618 [asserting an abstract right to amend does not satisfy the burden].)

Here, Plaintiff has failed to meet this burden as Plaintiff has not opposed the demurrer or motion to strike, and therefore it does not address whether leave should be granted if either the demurrer is sustained or the motion to strike is granted.

CONCLUSION AND ORDER

For the reasons stated, the Court sustains without leave to amend Defendant’s demurrer to the second and fifth causes of action, and grants without leave to amend Defendant’s motion to strike the request for declaratory relief that Defendant violated California Rules of Professional Conduct, rule 1.15(d) and State Bar Formal Opinion No. 2008-175 and the request for attorneys’ fees.

Further, the Court will enter the proposed Orders lodged on June 10, 2026 in conformity with the ruling.

Defendant shall file and serve an Answer to the Complaint on or before September 2, 2026.

Defendant shall also provide notice of the Court's ruling/Orders, and file the notice with a proof of service forthwith.

DATED: August 19, 2026 ______/s/_____________________

Michael
E. Whitaker

Judge
of the Superior Court